

WORKED SAMPLE · D.1 — Results Note

MoneyMart Retail · Q4 FY25-26 · the 2-page note, compressed to its essence

HEADLINE

HOLD (from BUY) · Target Rs 428 -> Rs 402 · Revenue in line, but per-store sales fell a second straight quarter; the expansion engine is now masking a same-store problem.

THE QUARTER VS OUR ESTIMATES (Rs cr)

	Actual	Our est.	YoY	Surprise
Revenue	1,262	1,270	+9.8%	-0.6%
EBITDA	96	104	+3.1%	-7.7%
PAT	41	47	-2.4%	-12.8%

WHAT CHANGED OUR NUMBERS

1. Per-store sales -4.2% YoY (5A decomposition: the volume effect is now store-count only). Cut FY27E rev 3%.
2. Staff cost per store +11% under the new wage agreement. FY27E EBITDA margin 8.5% -> 7.9%.
3. Expansion pace intact (254 -> 271 stores); capex guidance unchanged.

MANAGEMENT CALL — WHAT MATTERED

"Footfall softness is a sector issue, not ours" — but our channel checks show two rivals growing same-store.

"No change to 40-store rollout" — the board approved it before the same-store trend was visible.

VALUATION & RATING

18x FY27E EPS (was 19x; sector de-rating) on cut estimates -> Rs 402. Upside 6% = HOLD by our thresholds. We would revisit on two consecutive quarters of positive same-store growth.

RISKS TO OUR VIEW

Up: festive season normalises footfall. Down: wage inflation spreads to the South cluster (58% of stores).

WHY THIS WORKS — read like a reviewer

The headline states the CHANGE and its cause in one sentence — a reader who stops there still got it.

Every estimate cut is tied to a named driver with a number. The rating change shows its arithmetic (6% vs threshold).

The revisit trigger is pre-committed — Module 12.5's change-my-mind structure, in the wild.

WORKED SAMPLE · D.2 — Anonymised Teaser

Project SOUTHSTAR · 2 pages in practice · goal: one reply — 'send the NDA'

THE OPPORTUNITY

A leading South India-based value retailer with 254 stores across 41 cities, serving 12m+ annual customers. Founder-led, professionally managed, with a decade-long track record of profitable expansion.

INVESTMENT HIGHLIGHTS

- Scale with density: #2 position in its home cluster; 6 of 10 stores hold local market leadership.
- Consistent compounding: FY21-25 revenue CAGR of ~9% through a full demand cycle, including COVID.
- Proven unit economics: mature stores deliver Rs 15-17 cr revenue at store-level payback under 3 years.
- Self-funded growth: expansion financed from operating cash; conservative leverage throughout.
- Clear runway: management-identified pipeline of 60+ viable micro-markets in adjacent states.

FINANCIAL SNAPSHOT (Rs cr)

	FY23	FY24	FY25
Revenue	3,890	4,210	4,596
EBITDA	331	368	406
EBITDA margin	8.5%	8.7%	8.8%

THE TRANSACTION

The shareholders are evaluating a sale of a significant majority stake through a structured two-stage process. Indicative, non-binding proposals are invited within four weeks of information release.

BUYER LIST (INTERNAL — NEVER SENT)

Strategic: NationalMart (fills its southern gap) · FreshBasket (grocery adjacency, stated M&A intent) · MetroRetail Asia (India entry thesis, has bid twice in the sector).

Financial: Peninsula PE (owns two consumer roll-ups; fund in deployment year) · Horizon Capital (consumer-only mandate; exited a rival in FY24 — knows the space, has the capital).

WHY THIS WORKS — read like a reviewer

Every highlight carries a number; adjectives are doing no load-bearing work.

Anonymised but verifiable-in-spirit: a serious buyer can triangulate the sector without the name leaking.

The internal buyer list gives WHY-THEM logic, not just names — that reasoning is the interview answer.

WORKED SAMPLE · D.3 — Due Diligence Finding

Finding #7 · Prior-year revenue restatement · the course's planted case, written up professionally

CLASSIFICATION

PRICE-REDUCER (escalate to DEAL-BREAKER if Explanation B is confirmed).

THE FINDING

FY20-21 revenue was restated from Rs 3,511 cr to Rs 3,366 cr (-4.1%, -Rs 145 cr) in the FY21-22 annual report. The data room contains only revised-basis history; the restatement is not flagged in the CIM.

EVIDENCE

1. FY20-21 Annual Report, p.84: revenue Rs 3,511 cr (as first reported).
2. FY21-22 Annual Report, p.91, note 42: prior year restated to Rs 3,366 cr — 'revenue recognition alignment'.
3. Data-room file F-03 'Historical financials.xlsx': shows only Rs 3,366 cr with no restatement note.

POSSIBLE EXPLANATIONS — BOTH STATED

A (innocent): adoption of stricter revenue-recognition timing (e.g., gift-card breakage), applied once, correctly disclosed in statutory accounts, sloppily omitted from the data room.

B (concerning): FY20-21 revenue was overstated in-year (COVID-period pressure) and quietly corrected later; the data-room presentation pattern is consistent with minimising its visibility.

DOCUMENTS DEMANDED

Auditor's communication on note 42 · the revenue-recognition policy memo before/after · monthly FY20-21 MIS to test WHERE in the year the Rs 145 cr sat (a Q4 concentration favours Explanation B).

RUPEE IMPACT

Restated-basis FY21 EBITDA is Rs 11 cr lower. More material: if B holds, the QUALITY discount applies — we recommend re-basing the multiple on restated history and a Rs 25-40 cr price reduction, pending documents.

WHY THIS WORKS — read like a reviewer

Both explanations written BEFORE the accusatory one is believed — Module 5's mechanism discipline.
Every claim has a document and a page number. The monthly-MIS request is the separating TEST.
Impact is stated as a range with its condition — a finding, not a verdict.

WORKED SAMPLE · D.4 — IC Memo

MoneyMart Retail · one page · the 12.5 template with crores attached

RECOMMENDATION

BUY, 2.0% initial position. 18-month target Rs 505 (+22%). We would be surprised outside Rs 380-560.

THESIS (THREE SENTENCES)

The market prices MoneyMart as a mature retailer (16x) while its store base is only mid-way through a proven density playbook. The gap exists because two soft same-store quarters obscured unit economics that remain intact ex-wage-reset. As new-cluster stores mature over FY27-28, mix normalises and the multiple re-rates.

THREE SUPPORTING FINDINGS

1. Store vintage analysis (our 5B-style cohort work): stores >3 years old grew same-store +2.8% — softness is a mix effect from the young-store bulge, not franchise decay. [Exhibit 1]
2. The wage reset is one-time and now fully in the base; sector peers absorb it FY27. [Exhibit 2]
3. Balance sheet self-funds the 40-store rollout — no dilution risk at cycle bottom. [Exhibit 3]

VALUATION

18x FY28E EPS of Rs 28 = Rs 505. Load-bearing assumption, named: young-store cohort matures on the historical curve. If maturation runs 12 months late, fair value is Rs 430 — still above entry.

PRE-MORTEM — WHAT KILLS THIS, AND OUR EXITS

Kill 1: mature-store same-store turns negative for 2 consecutive quarters -> thesis broken, EXIT.

Kill 2: rollout pace cut below 25 stores/yr (capital signal) -> re-underwrite within one week or EXIT.

POSITION & RISK / THE ASK

2.0% now, 3.0% cap. Liquidity: 6 trading days to exit at 20% ADV. Correlation with book: adds to consumer cluster (now 14% -> limit 20%). ASK: approve 2.0% initiation this week, before Q1 reporting.

WHY THIS WORKS — read like a reviewer

The thesis names WHY the mispricing exists — without that, it's just optimism.

The load-bearing assumption is one clause, and its failure is PRICED (Rs 430), not hand-waved.

Exits are defined by THESIS EVIDENCE, not price levels — the sell discipline, pre-committed.

WORKED SAMPLE · D.5 — Derivatives Strategy Note

NIFTY weekly · the volatility trade, written the professional way

THE VIEW (TYPE: VOLATILITY, NOT DIRECTION)

Implied volatility into Thursday's RBI decision is expensive versus both realised vol and the past year of policy-day moves. We sell the event premium, with wings owned for tail protection.

THE VOLATILITY READ

IV 16.8 = 78th percentile of its own year · Realised (21d, the 10C calculation) 11.2 -> IV/RV 1.50, top decile · Skew steep: 24,000 puts +4 vols over calls (downside fear priced) · Term structure: this week 16.8, next 13.1 — the event is clearly and heavily priced.

POSITIONING READ

Max call OI 25,000, max put OI 24,000 — the market has voted a range. Basis normal; no stress signature.

THE STRUCTURE — IRON CONDOR (DEFINED RISK VERSION OF SELLING THE RANGE)

Sell 24,000 put & 25,000 call; buy 23,700 put & 25,300 call. Net credit Rs 92 per unit.

PAYOFF & RISK — DECIDED BEFORE ENTRY

Max profit Rs 92 (index expires 24,000-25,000) · MAX LOSS Rs 208 (beyond the wings) · Breakevens 23,908 / 25,092 · Size: risk 0.5% of book at max loss -> position sized from the 208, never from the 92.

EXIT PLAN

Take profit at 60% of credit · exit on close beyond a short strike · position off by Thursday 15:00 regardless — the trade is the EVENT premium, not the week.

POST-TRADE ATTRIBUTION (FILLED AFTER)

Result: +Rs 55 (theta +71, vega +12, gamma/delta -28). Paid for the STATED reason (premium decay), which is the honest test. IV/RV closed at 1.18.

WHY THIS WORKS — read like a reviewer

The view is typed honestly as VOLATILITY — direction never enters the note.

Max loss is computed and sized BEFORE entry; profit-taking and time exits pre-written.

Attribution by Greek answers 6B's question: right for the stated reason, or just lucky?

WORKED SAMPLE · D.6 — Credit Rating Rationale

MoneyMart Retail Ltd · the published-rationale genre, one page

THE GRADE

A+ / Outlook: Stable. Entrenched regional franchise and 4.1x interest coverage, tempered by an FY28 refinancing concentration and single-region dependence.

BUSINESS RISK

Value-retail demand is defensive through cycles (COVID trough revenue fell only 8.6%). Concentration: 58% of stores in one state cluster — a weather/regulatory single-factor. No customer concentration (B2C). Group structure clean: no cross-guarantees or inter-company loans identified — the Indian unit-of-risk test passes.

FINANCIAL RISK — THE RATIO ENGINE (Rs cr basis)

	FY23	FY24	FY25
Debt / EBITDA	1.9x	1.7x	1.6x
EBITDA / Interest	3.6x	3.9x	4.1x
Debt / Equity	0.6x	0.5x	0.5x
CFO vs debt due (12m)	1.8x	2.0x	2.1x

LIQUIDITY — THE KILLER CATEGORY

Maturity ladder: Rs 120 cr due FY27 (covered 2.1x by CFO) but Rs 410 cr bunched in FY28 (the store-rollout loan). Cash + undrawn lines Rs 260 cr. The FY28 tower is the rating's binding constraint — refinancing dependence, not solvency, is where this credit can be hurt. (Solvency and liquidity are different deaths.)

PROJECTIONS UNDER PUNISHMENT

Stress case (revenue -10%, margin -150bps, refinancing +200bps): coverage falls to 2.3x — comfortably above 1. Coverage breaches 1.5x only if the FY28 tower refinances at +450bps in a -10% revenue world.

DRIVERS & TRIGGERS

Drivers: defensive demand · deleveraging track record · FY28 concentration.

Downgrade trigger: FY28 tower unrefinanced 12 months before due, or coverage < 3.0x for two halves.

Upgrade trigger: geographic revenue share outside home cluster > 30% with coverage sustained > 4.5x.

WHY THIS WORKS — read like a reviewer

Grade first, basis in the same breath — the pyramid, as regulation-shaped tradition demands.

The ladder finds the BINDING constraint (FY28) and says so plainly; ratios alone would have missed it.

Triggers are numeric and dated — surveillance can be executed by someone other than the author.